Blurt sheet - Unit 3.1 What is business?

AQA A-LEVEL BUSINESS 7132

3.1.1 Why businesses exist and mission

- **Why businesses exist:** to provide goods and services that meet customer needs and create value for owners and other stakeholders
- **Mission:** the overall purpose and values of the business; qualitative and long term
- **Mission statement:** a written summary of the mission, used to guide decisions and communicate purpose
- **Objectives:** measurable targets that turn the mission into action
- Mission → corporate objectives → strategy → functional objectives
- **Why set objectives:** give direction, coordinate departments, provide a basis for decisions, measure performance, motivate staff
- **SMART:** specific, measurable, achievable, realistic, time-bound
- **Limitation:** objectives can quickly go out of date if the market changes

3.1.1 Types of objective

- **Objectives named by AQA:** profit, growth, survival, cash flow, social and ethical
- **Profit:** e.g. a target level of profit or profit margin; needed for reward and reinvestment
- **Growth:** e.g. higher sales, market share or more outlets; brings economies of scale
- **Survival:** most important for new businesses or in a recession
- **Cash flow:** e.g. keeping a minimum cash balance so bills can be paid
- **Social and ethical:** e.g. cutting emissions or paying suppliers fairly
- **Why objectives differ:** size, ownership, age of business, competition, economic conditions
- **Conflict:** e.g. growth may reduce short-term profit; ethical sourcing may raise costs

3.1.1 Revenue, costs and profit

- **Revenue:** selling price × quantity sold (also called turnover or sales)
- **Fixed costs:** do not change with output in the short run, e.g. rent, salaries
- **Variable costs:** change directly with output, e.g. raw materials, packaging
- **Total variable costs:** variable cost per unit × quantity
- **Total costs:** fixed costs + total variable costs
- **Profit:** total revenue − total costs
- **Why profit matters:** reward for risk, source of finance (retained profit), signal to investors, measure of performance
- **Trap:** profit is not cash; a profitable business can still run out of cash

3.1.2 Sole traders, Ltd and plc

- **Sole trader:** one owner, keeps all profit, full control, unlimited liability
- **Private limited company (Ltd):** separate legal identity, limited liability, shares sold privately
- **Public limited company (plc):** can sell shares to the public on a stock exchange
- **Unlimited liability:** owner is personally responsible for all business debts
- **Limited liability:** shareholders can lose only what they invested
- **Ordinary share capital:** money raised by selling shares; not repaid; gives votes and a right to dividends
- **Plc drawbacks:** risk of takeover, more regulation, pressure for short-term results, loss of control
- **Trap:** "public" limited company is in the private sector

3.1.2 Sectors, social enterprises and changing form

- **Private sector:** owned by individuals or shareholders
- **Public sector:** owned or controlled by government, e.g. the NHS
- **Not-for-profit:** aims to achieve a purpose rather than make profit for owners, e.g. charities
- **Social enterprise:** trades like a business with a social or environmental purpose; reinvests most profit
- **Trap:** social enterprises can and usually do make a profit
- **Reasons to become Ltd:** limited liability, credibility, easier to raise finance
- **Reasons to become plc:** access to large amounts of share capital, higher profile
- **Reasons to go private:** escape stock market pressure and focus on the long term

3.1.2 Shareholders and share price

- **Why shareholders invest:** dividends, capital gain, voting rights
- **Dividend:** share of profit paid to shareholders, usually per share
- **Market capitalisation:** number of shares issued × current share price
- **Influences on share price:** profit forecasts, dividends, new contracts, takeover rumours, management changes, the economy
- **Significance of a falling share price:** cheaper takeover target, harder to raise new share capital, less shareholder wealth
- **Trap:** a rising share price gives the business no extra cash unless it issues new shares
- **Ownership and objectives:** plcs face short-term pressure; family firms value control; social enterprises put purpose first

3.1.3 Competition and market conditions

- **External factors named by AQA:** competition, market conditions, incomes, interest rates, demographic factors, environmental issues and fair trade
- **Competition:** more rivals means more choice for customers and pressure on prices and margins
- **Market conditions:** whether the market is growing, stable or shrinking
- **Market growth:** allows a business to grow without taking share from rivals
- **Effect on costs:** e.g. suppliers raising prices or wage rises in the local labour market
- **Effect on demand:** changes in competition or market conditions shift how much customers buy
- External factors are outside the business's control but it can respond to them

3.1.3 Incomes, interest rates, demographics and the environment

- **Rising incomes:** demand for most products rises, especially luxuries
- **Inferior goods:** demand may fall as incomes rise
- **Higher interest rates:** higher borrowing costs for businesses and lower consumer spending, especially on credit
- **Demographic factors:** size and structure of the population, e.g. an ageing population
- **Environmental issues:** pressure to cut pollution and waste; can raise costs but also create demand
- **Fair trade:** guaranteed minimum price to producers; higher costs but can support a premium price
- **Effect on a business:** depends on its products, customers and how much it borrows